Ans. (d) : Dr. B.R. Ambedkar called Article 32 of the Indian Constitution i.e. Right to Constitutional remedies as ' the heart and soul of the Constitution'. It was made so because mere declaration of the fundamental rights without an effective machinery for enforcement of the fundamental rights would have been meaningless. Also, a right which does not have a remedy is a worthless declaration. Thus, the framers of our constitution adopted the special provisions in the article 32 which provided remedies to the citizen, in case of violation of Fundamental Rights.

59. Consider the following statements with reference to India:

1. **The Chief Election Commissioner and other Election Commissioners enjoy equal powers but receive unequal salaries.**
2. **The Chief Election Commissioner is entitled to the same salary as is provided to a judge of the Supreme Court.**
3. **The Chief Election Commissioner shall not be removed from his office except in like manner & on like grounds as a judge of the Supreme Court.**
4. **The term of office of the Election Commissioner is five years from the date he assumes his office or till the day he attains the age of 62 years, whichever is earlier.**

Which of these statements are correct?

(a) 1 and 2 (b) 2 and 3
(c) 1 and 4 (d) 2 and 4

Ans. (b) : The three commissioners, including the Chief Election Commissioner, are entitled to a salary which is "equal to the salary of a judge of the Supreme Court", according to the provisions of a law governing their conditions of service. Chief Election Commissioner of India like Judge of the Supreme Court can be removed from his office only by the Parliament with a two-thirds majority in both the Lok Sabha and the Rajya Sabha on the grounds of proved misbehavior or incapacity.The President appoints Chief Election Commissioner and Election Commissioners. They have tenure of six years, or up to the age of 65 years, whichever is earlier.

60. The Consultative Committee of Members of Parliament for Railway Zones is constituted by the

(a) President of India
(b) Ministry of Railways
(c) Ministry of Parliamentary Affairs
(d) Ministry of Transport

Ans. (c) : The Consultative Committee of members of Parliament for Railway Zones in constituted by the Ministry of Parliamentary Affairs. Main purpose of this Committee is to provide a forum for informal discussions between the Government and Members of Parliament on policies and programmes of the Government and the manner of their implementation.

61. Which one of the following authorities recommends the principles governing the grants-in-aid of the revenues to the states out of the Consolidated Fund of India?

(a) Finance Commission
(b) Inter-State Council
(c) Union Ministry of Finance
(d) Public Accounts Committee

Ans. (a) :Finance Commission is a constitutional Body and it is constituted by the President. It is set up every five years or before. It lays down rules by which Centre should provide grants in aid to states out of consolidated fund of India and suggest measures to increase the resources of State.

ECONOMY

62. Consider the following financial institutions of India:

1. **Industrial Finance Corporation of India (IFCI)**
2. **Industrial Credit and Investment Corporation of India (ICICI).**
3. **Industrial Development Bank of India (IDBI)**
4. **National Bank for Agriculture and Rural Development (NABARD).**

The correct chronological sequence of the establishment of these institutions is:

(a) 1, 2, 3, 4 (b) 2, 3, 4, 1
(c) 3, 4, 1, 2 (d) 4, 1, 2, 3

Ans. (a) : IFCI – 1948
ICICI – 1955
IDBI – 1964
NABARD – 1982

63. A country is said to be in a debt trap if:

(a) It has to abide by the conditionalities imposed by the International Monetary Fund.
(b) It has to borrow to make interest payments on outstanding loans.
(c) It has been refused loans or aid by creditors abroad.
(d) The World Bank charges a very high rate of interest on outstanding as well as new loans.

Ans. (b) : Debt trap is a situation in which a debt is difficult or impossible to repay, typically because high interest payment prevents repayment of the principle.
A country is said to be in a debt trap if it has to borrow to make interest payments on outstanding loan.

64. Consider the following statements:
Full convertibility of the rupee may mean

1. **Its free float with other international currencies.**
2. **Its direct exchange with any other international currency at any prescribed place inside and outside the country.**
3. **It acts just like any other international currency.**

Which of these statements are correct?

(a) 1 and 2 (b) 1 and 3
(c) 2 and 3 (d) 1, 2 and 3

Ans. (d) : Capital account convertibility means free conversion of cross-border capital flows, implying that anybody can convert domestic currency into hard currency at the market rate and take the hard currency out of the country.

65. India has the maximum volume of foreign trade with

(a) USA (b) Japan
(c) Germany (d) UAE

Ans. (a) : In the given question maximum trade was with U.S.A. Foreign Trade in 2004-05.

Import	Export
Asia and Oceania	Asia, Oceania
Western Europe	Western Europe
America	America

(Source - India - 2006)

66. India's external debt increased from US $ 98,158 million as at the end of March 2000 to US $ 1,00 225 million as at the end of March 2001 due to increase in:

(a) Multilateral and bilateral debt.
(b) Rupee debt.
(c) Commercial borrowings and NRI deposits.
(d) Borrowings from International Monetary Fund.

Ans. (c) : The external debt growth Contribution during March 2000-2001.- Commercial Credit - 190,074-24,074, NRI Deposits 13,500-15,437, During this period there was relatively no increase in multilateral and bilateral credit. (Source - India - 2004)

67. With reference to the Indian economy, consider the following activities:

1. **Agriculture, Forestry and Fishing**
2. **Manufacturing**
3. **Trade, Hotels, Transport and Communication**
4. **Financing, Insurance, Real Estate and Business services**

The decreasing order of the contribution of these sectors to the Gross Domestic Product (GDP) at factor cost at constant prices (2000-01) is

(a) 3, 1, 2, 4 (b) 1, 3, 4, 2
(c) 3, 4, 1, 2 (d) 1, 3, 2, 4

Ans. (c) : The correct order is Trade - Hotel, Transport and Communication > Financing, Insurance, Real Estate and Business services > Agriculture, forestry and fishing > Manufacturing.

68. With reference to the Public Sector Undertakings in India, consider the following statements:

1. **Minerals and Metals Trading Corporation of India Limited is the largest non-oil importer of the country.**
2. **Project and Equipment Corporation of India Limited is under the Ministry of Industry.**
3. **One of the objectives of Export Credit Guarantee Corporation of India Limited is to enforce quality control and compulsory pre-shipment inspection of various exportable commodities.**

Which of these statements is/are correct?

(a) 1 only (b) 1 and 2
(c) 2 and 3 (d) 3 only

Ans. (a) : Minerals and metal trading corporation of India limited is the largest non-oil importer of the country. Hence 1st statement is correct.
Project and equipment corporation of India works under ministry of commerce and industry. Hence 2nd statement is incorrect.
ECGC or the Export Credit Guarantee Corporation of India Limited was set up in 1957 with the objective of promoting exports by providing credit risk insurance and related services for exports.
Hence 3rd statement is also incorrect.

69. With reference to the Indian Public Finance, consider the following statements

1. **External liabilities reported in the Union Budget are based on historical exchange rates.**
2. **The continued high borrowing has kept the real interest rates high in the economy.**
3. **The upward trend in the ratio of Fiscal Deficit to GDP in recent years has an adverse effect on private investments.**